political neck to fight for a reduction of barriers to some of our exports, and Japanese manufacturers started building some of their cars in this country.

While I was president, we retaliated against a number of countries, including some of our allies, that imposed trade barriers to our products. But retaliation isn't a solution to the problems of protectionism; it only perpetuates it. Many countries, including Japan, continue to impose barriers that give them an unfair advantage in international trade, and until they become more willing to compete on a level playing field, they can expect protectionist sentiment to grow in this country.

The widening of our international trade deficit during the 1980s was to a large extent a by-product of our country's strong economic recovery. When our economy started to take off at the end of 1982, it expanded much faster than those of our major trading partners; the dollar rose in value, imports became a bargain for Americans, and some American products and services were priced out of foreign markets. The result: a widening trade gap that caused difficult times for many of our manufacturers who relied on exports for a major part of their profits.

Once again, I think this was a situation in which hard times had a good result: Our difficulties accelerated the modernization and restructuring of our industrial base and in the end helped make America more productive and more competitive. After several years of decline, our exports began to surge in 1986, and by 1989 the trade gap had fallen to the lowest level in five years. Our exports continued to surge in 1990; the gap grew narrower, and our exporters more prosperous.

It's true that we now have tougher competitors overseas than we used to have, but America is tougher, too. We've proved that we can respond to competition, as we always